

# Merchant Risk Classification Policy

Payment networks classify merchants based on fraud risk exposure.

## **High Risk Merchants**

Industries such as cryptocurrency exchanges, online gambling platforms, and anonymous digital services may present higher fraud risk.

## **Medium Risk Merchants**

Merchants with limited transaction history or recently registered businesses require moderate monitoring.

## **Low Risk Merchants**

Established businesses with long transaction histories and low fraud rates are classified as low risk.

Fraud monitoring systems must apply stricter monitoring rules for transactions involving high-risk merchants.